

China rates: Turn outright pay Jun-3y NDIRS

We now remove the long 30y CGB leg

Since our last *update* on 6 May, China rates have been trading in a very tight range. The 7d repo fixing moved lower though, against our expectation of a small rebound. That said, swap rates did not rally either, meaning flush liquidity had been expected by the market. With the PBoC having net drained RMB1trn of medium-to-long term liquidity via 3m and 6m ORRs in May so far, we think the risk-reward still favours positioning for small liquidity tightening and higher front-end rates. On the 30y CGB yield, we now see some upside risk owing to the marked selloff in global rates. Thus, we now **exit our long 30y CGB leg** (current level of 260002: 2.2875%) and **turn net paid in Jun-3y NDIRS** (indicative USD2k DV01).

Liquidity – Still flush but PBoC has sped up withdrawal in May

Figure 1 shows that the latest outstanding OMOs dropped to close to zero again. This means that the PBoC has been unable to withdraw further short-term liquidity from the system (as there is not much left any way). Thus, the key focus is how much medium- to long-term liquidity the PBoC has drained.

As we *flagged* in our previous reports, large net liquidity injections by the PBoC in January-February were one of the main drivers of super flush liquidity in recent months. In Figure 2, we show the cumulative medium- to long-term net liquidity injections from the PBoC since start of the year (via ORRs, MLFs, the PBoC's net CGB purchases, RRR cuts; excluding OMOs), and compare them with those in previous years.

The total net liquidity injection of RMB2.05trn in January-February 2026 was obviously well above the levels of the past few years (2020-25 average as of end-February: RMB631bn). In March and April, liquidity proved to be excessively loose (thanks to very weak domestic demand, the moderate pace of bond issuance, underperformance of onshore equities versus other Asia/DM markets). Accordingly, the PBoC net withdrew RMB200bn and RMB560bn of medium and long-term liquidity, respectively. However, even after the RMB760bn net liquidity withdrawal, YTD injections have still totalled RMB1.29trn as of end-April, which is still higher than the 2020-25 average of RMB963bn.

In May, however, the PBoC sped up the pace of its net liquidity drain by withdrawing RMB1trn of liquidity via 3m and 6m ORRs. As a result, the **YTD cumulative liquidity injection has dropped sharply to RMB290bn**, well below the average of RMB1.18trn in May 2020-25. We believe money market rates will eventually react to the low absolute level of liquidity in the market (after the RMB1trn net drain in May so far), though we note progress will only likely be gradual and slow.

Lower 7d repo fixing is unlikely to preclude policy rate cuts

The monthly average spread between the 7d repo fixing and 7d OMO rate fell to -3bp in May (April: +1bp), the first negative print since May 2023. In 2026 so far, the loose liquidity / narrower spread 7d repo fixing and 7d OMO rate have been in line with historical patterns (Figure 3). In 2022-25, six out of seven OMO rate cuts were delivered in Q2 and Q3, and prior to rate cuts, the PBoC would guide/allow the 7d repo fixing to drift lower. Also, the May to September period usually marks the peak of government bond supply (CGBs and LGBs), and is when the PBoC tends to ensure there is sufficient liquidity in the banking system. These might partly explain the seasonality in previous years. Our economics team does not expect any rate or RRR cuts in 2026, and we estimate net government bond supply will rise in June-September (actual/planned issuance in May was below our earlier expectation, due mainly to slow LGB supply). Thus, we see very limited downside in the 7d repo fixing/ broad money market rates.

If we assume **seasonality** holds well for coming months, then liquidity is likely to tighten

Research Analysts

Asia Rates Strategy

Clair Gao, CFA - NIHK

clair.gao@nomura.com

+852 2252 1081

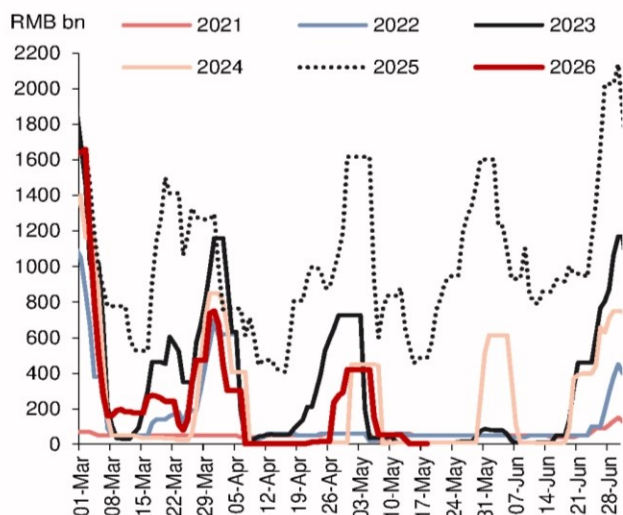
Albert Leung - NIHK

albert.leung1@nomura.com

+852 2252 1401

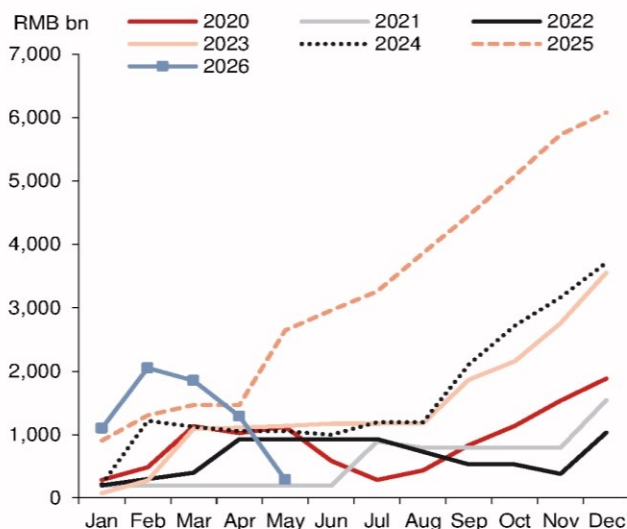
from June onwards. In fact, DR001 already started to move higher in May (May MTD average: 1.27%; April average: 1.23%), but DR007 and the 1y NCD yield are yet to rebound from the previous month (Figure 4).

Fig. 1: Outstanding OMOs



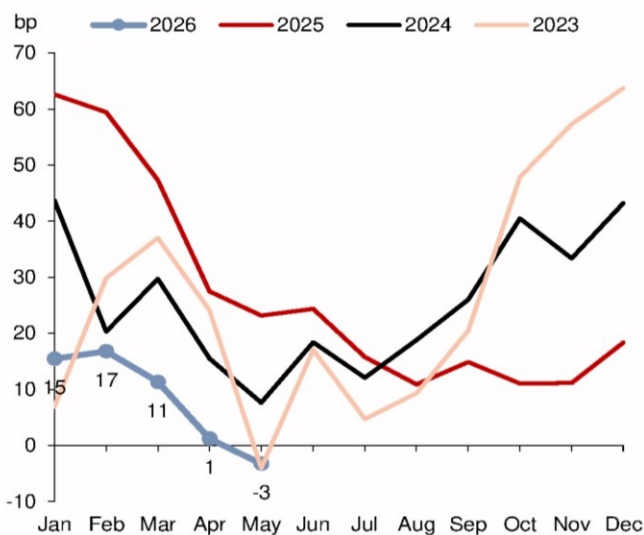
Source: Wind, Nomura

Fig. 2: The PBoC's medium- to long-term net liquidity injections (cumulative from the start of the year)



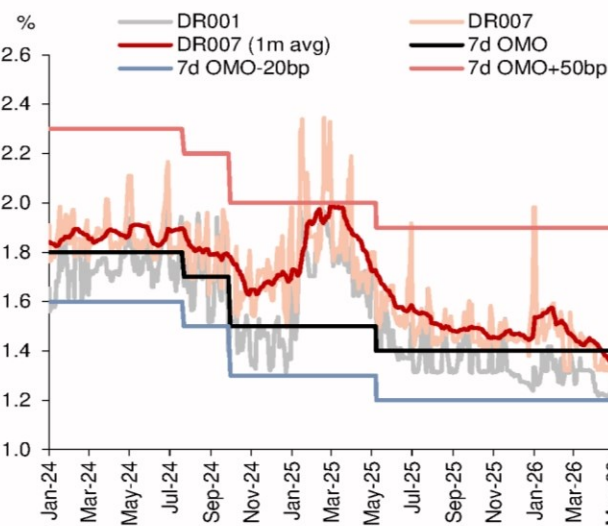
Source: Wind, the PBoC, Nomura

Fig. 3: Monthly average spread between 7d repo fixing and 7d OMO rate



Source: Bloomberg, Wind, Nomura

Fig. 4: DR001, DR007 and 7d OMO rate



Source: Bloomberg, Nomura

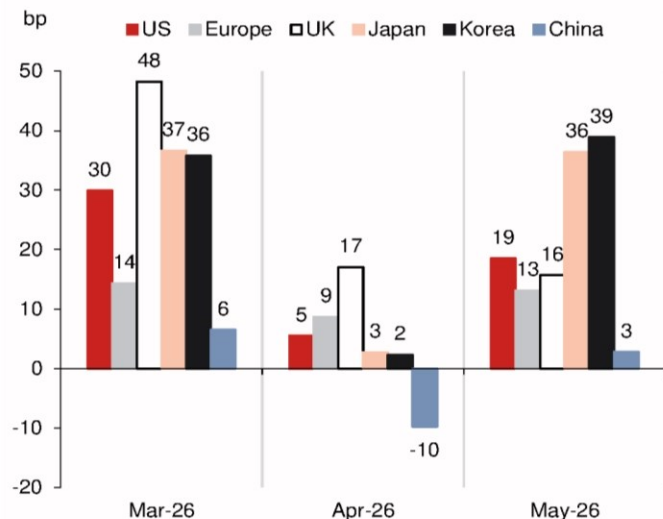
30y CGB yield (260002) – Fails to stay below 2.25% despite flush liquidity

In recent weeks, there has been a marked selloff in global yields, owing to rising oil prices and inflation, strong growth data and concerns over central banks' faster/earlier rate hikes or fiscal expansion etc (Figure 5). The selloff in developed markets tends to affect price action in other markets as well. However, China is the only market where we have seen real independence in yield movements. There are some underlying reasons behind this, including: 1) unlike other DMs or Asia central banks, we believe the likelihood of a PBoC rate hike is very small; 2) economic growth headwinds remain, especially from weak domestic demand, which is once again consistent with the broad-based *disappointment* in today's April activity data. That said, there have been positive developments owing to the warm truce from the *Trump-Xi Summit*, and property market data, with positive gains in average existing home prices reported across all tier-1 cities in April. Thus, fundamental-related factors supporting lower and higher rates are more balanced at this

stage, in our view.

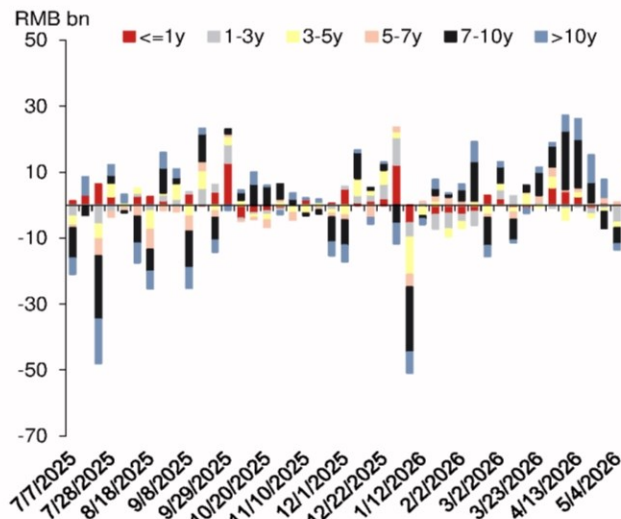
On **positioning**, although onshore funds (key drivers of CGB yields) are yet to reduce their 30y CGB holdings in large size, buying flows have slowed over the past two weeks (Figure 6). Insurance firms have started to add back 30y CGBs but only in small amount, while large banks and securities firms remain the main sellers. Looking ahead, **we see a risk from the external backdrop, and the 30y CGB may start to have a higher beta to global rates (especially after its outperformance in April)**. Thus, we remove the long 30y CGB leg from our previous recommendation and now turn to pay Jun-3y NDIRS with a conviction level of 3/5.

Fig. 5: Monthly change in 30y government bond yield



Source: Bloomberg, Nomura

Fig. 6: Onshore funds' net weekly buying in CGBs and PFBs



Source: iData, Nomura

Please see [Strategy portfolio update](#) (7 May 2026) for our full portfolio.

Appendix A-1

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